

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

**RESPONDENT MEDITERRANEAN SHIPPING COMPANY S.A.'S
REPLY WITH RESPECT TO ORDER TO SHOW CAUSE**

Pursuant to the September 8, 2022 Order, Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) replies to Complainant MCS Industries’ October 6, 2022 filing (“Compl. Mem.”). Although Complainant repeatedly asserts that MSC has shown “willful” and “repeated” “contempt” of its discovery obligations that would justify the extreme sanction of default, no precedent supports that position, as each of cases Complainant cites confirms. Complainant asks for no other sanction. Complainant also fails to address or deal with the following:

1. Unlike almost all of the cases in which a default has been ordered, MSC has not refused to participate in this proceeding or provide any discovery at all. *See Jackson v. Beech*, 636 F.2d 831, 836 (D.C. Cir.1980) (“default judgments were designed to handle [] a totally unresponsive party”). Rather, MSC has provided full discovery on what Complainant has termed the “heart” of the conduct it challenges. *See Motion to Compel*, at 34, 37 (filed Nov. 29, 2021). Complainant’s new contention that every discovery item MSC has been unable to produce pending further consultations is essential is illogical and entirely unsupported. Compl. Mem. at 18.

2. In any sanctions determination, especially if a default is urged, the sanctions must be “narrowly tailored to address the specific harm.” *Rana v. Franklin, d/b/a/ “The Right Move,”*

Inc., No. 19-03, at 7 (FMC May 25, 2022)(citation omitted). Thus, Complainant is wrong to charge that MSC is ignoring the Order To Show Cause in addressing whether the outstanding discovery, even if MSC proves unable to provide it, warrants a default. Analysis of the nature of that discovery is not litigating the merits; it is required to assess the factors applicable to the default determination. Complainant likewise misrepresents the principal case on which it relies, *Webb v. District of Columbia*, 146 F.3d 964 (D.C. Cir. 1999), which expressly requires it to show that not having the discovery would so “severely hamper” Complainant that it would be “unfair to require [Complainant] to proceed further with its case.” *Webb*, 146 F.3d at 971. Complainant has not made that showing – information is not essential even if it might be relevant.

3. Contrary to Complainant’s argument, Compl. Mem. at 13, there has *never* been a finding in this case that MSC would *not* in fact be risking criminal sanctions under Swiss law should it proceed without proper procedures or authorization under that law. To the contrary, multiple uncontested opinions on Swiss law confirm this risk. MSC remains confident that, if the issue were properly presented to the Swiss authorities, they would conclude that the Hague Evidence Convention procedures are in fact applicable to this proceeding, but even if they were not, the prohibitions under Swiss law would remain. *See* MSC Resp., Exh 2 (“Legal Opinion”). That is why MSC has diligently attempted to address this issue in good faith.

4. The consultation procedures under 46 U.S.C. § 41108(c) that Complainant itself has argued are mandatory have not been exhausted.

5. Despite its unsupported assertions to the contrary, Complainant has never shown how continuing to pursue the required procedures under Swiss law would materially prejudice it. To the contrary, after the unexpected decision of the Geneva Court of First Instance that the Hague procedures could not be used in this proceeding because it is “administrative,” Complainant did

not seek immediate production of the documents. Rather, Complainant sought use of the § 41108(c) consultation procedures. *See* July 15 Joint Status Report at 2. Complainant did not suggest that using those procedures, which are of indefinite time frame, would prejudice it unless it were forced to take depositions before receiving the documents, which no party has suggested.

6. Complainant also fails to address the jurisdictional arguments MSC has renewed, suggesting instead that MSC's request that the issue be reviewed is contumacious. Compl. Mem. at 12-14. Jurisdiction is fundamental to a tribunal's ability to issue a judgment. MSC has sought certification of the jurisdictional issue, and believes this would be an appropriate time for the Commission to consider it.

7. Finally, Complainant makes no effort to prove up the nearly \$950,000 in reparations it claims, or to show how the outstanding discovery relates to that claim. Even if, contrary to precedent, a default *were* appropriate, it would not allow entry of an unproven reparations judgment. *See John v. Murphey*, 651 A.2d 812, 814 (D.C. Ct. App. 1994) ("The plaintiff must put on proof of damages."). To cite but one example, Complainant has never shown that it attempted to tender to MSC the cargo for which it is now seeking reparations, and none of the outstanding discovery goes to that issue. Moreover, Complainant seeks reparations for the 2020 contract year even though the 2020 claims were not added to this case until after the December 8 Order.

MSC's prior response to the Order To Show Cause showed that further consultation with the Swiss authorities, not a default judgment, is the proper course to allow MSC to comply with the outstanding discovery request so that this case can be decided on the merits. MSC's good faith attempts to reconcile the competing obligations of the Order to Compel and Swiss criminal law do not come close to the type of conduct that warrants the "draconian" remedy of default. MSC

Resp. at 7-9. And there are serious jurisdictional issues in the case that the Commission should not address. Complainant's response does not meaningfully address any of these points.

I. Complainant Previously Asserted And Now Effectively Concedes That Mandatory Consultations Under 46 U.S.C. § 41108(c) Are Required

Complainant does not and cannot contest that MSC has “in defense of its failure to comply with a . . . discovery order . . . allege[d] that information or documents located in a foreign country cannot be produced because of the laws of that country” within the meaning of 46 U.S.C. § 41108(c). Complainant has itself asserted throughout this proceeding, including after the July 1, 2022 Geneva court ruling led directly to the current impasse, that this statutory procedure is mandatory. *See, e.g.*, April 14, 2022 Joint Status Report at 6; July 15 Joint Status Report at 2. Complainant's filing now ignores the statute and does not address MSC's argument. The point should be treated as conceded, and the availability of this statutory procedure is sufficient to dispose of Complainant's contention that default judgment is appropriate. MSC has continued to press the issue with the Swiss authorities, whose responses confirm that consultations cannot simply be dismissed as a vain act.

II. Relevant Precedent Provides No Support For Entry Of A Default Judgment

A. There is no basis for Complainant's assertions of bad faith

Implicitly recognizing that courts and the Commission have uniformly ordered default only on a finding that a party has acted in bad faith or entirely refused to participate in the proceeding, *see pp. 6-10 infra*, and conceding that consultations under the Shipping Act have not been initiated, Complainant asserts that MSC has raised the Swiss law issues for purposes of “discovery gamesmanship, not in good faith.” Compl. Mem. at 15. This allegation is irresponsible, and inconsistent with Complainant's own repeated position that the Swiss law issues in this case trigger such consultations. Complainant has previously cited a smattering of non-precedential U.S.

decisions questioning the scope of the Swiss law, but these objections have been answered in the Swiss legal opinions MSC has provided, and to which Complainant has never responded.

The Geneva court decision, based on a misunderstanding of the Commission's role directly contrary to U.S. Supreme Court precedent, concluded that the Hague procedures are inapplicable. As detailed in the Swiss legal opinions MSC has presented, even if it were correctly decided, the question whether the Convention applies to this matter does not also decide whether MSC risks potential criminal sanction if it moves ahead without the necessary approvals in Switzerland. The Geneva decision requires MSC to take additional steps to comply with the law, which MSC is pursuing, but does not repeal or negate the Swiss blocking law. Complainant argues that MSC's attempt to reconcile its obligations under Swiss law with its discovery obligations shows disrespect for the Commission, Compl. Mem at 12-13, but it simply reflects that MSC is caught in conflicting obligations imposed by two sovereign authorities that it is diligently working to address.

Complainant argues that MSC did not raise the Swiss law issues until December 2021, but MSC's position has been consistent throughout that Swiss law does not preclude voluntary document production, but is triggered when production is compelled. Prior to the issuance of the Order to Compel in December 2021, MSC had produced thousands of pages of documents in response to Complainant's discovery requests, including complete productions on the requests Complainant has described as going to the "heart" of the dispute. Once the issue was joined by the December 8 Order, MSC immediately raised the issue and has worked diligently to address it.

Complainant also suggests that MSC is acting in bad faith because it did not invoke the same Swiss law issues in responding to discovery in a separate Commission docket, *IMCC v. OCEMA*, No. 20-14. Compl. Mem. at 15-16. In the *IMCC* case, however, MSC was not truly compelled, as it had agreed to voluntarily produce the documents requested, which did not include

the kind of highly confidential and sensitive information involved here regarding MSC and the business arrangements and contracts of third parties. *See* MSC’s Resp. to Motion to Compel at 61-62. The resulting Order merely set a deadline for MSC to complete the production that it had already agreed to make. *IMCC v. OCEMA*, No. 20-14, September 27, 2021 Order on Motion to Compel and for Sanctions. Here in contrast the production is directly compelled and Swiss counsel has confirmed that compliance with Swiss law is required before the production can be made.

Finally, Complainant notes at length that MSC did not seek to appeal the December 8, 2021 Order to the Commission or seek immediate certification of the February 4, 2022 Order rejecting MSC’s jurisdictional arguments. Compl. Mem. At 6, 9, 16-17. The issue, however, is MSC’s ability to comply with the Order consistent with the procedures required under Swiss law and the Shipping Act. An appeal would not have resolved the Swiss law issues even if it had narrowed the scope of the Order, as any compelled production would trigger the obligation that MSC obtain approvals from the Swiss authorities to respond to the order.

B. Complainant cites no precedent finding a default judgment appropriate under circumstances similar to the facts of this case

As set out in MSC’s initial response, “disposition of cases on the merits is generally favored,” and a default judgment is a “sanction of last resort.” *Webb*, 146 at 971 (citations omitted). Even in cases involving egregious misconduct of the type not suggested here default has not been imposed. *See* MSC Resp. at 7-9. The case law Complainant cites confirms these principles, demonstrating both how rare the imposition of a default judgment is and how extreme the conduct must be to warrant one.

The most recent Commission case on the issue, *Rana v. Franklin*, declined to enter a default judgment against a Complainant who “by and large did not answer the interrogatories and provided no documents.” Here, MSC has provided substantial documents, including what it believes to be

all of the documents as to cargo Complainant alleges MSC was required to carry but did not. Complainant also relies on *SEC v. China Infrastructure Inv. Corp.*, 189 F. Supp. 3d 118 (D.D.C. 2016), where defendants wholly failed to respond to three orders of the court, one warning of the intention to enter a default, and “continued to remain absent over six months later . . . without any sign of re-engaging in this lawsuit.” 189 F. Supp. 3d at 130-31. MSC has responded diligently to each order and remained fully engaged in the proceeding. In *Communispond, Inc. v. Kelley*, No. 96 CIV. 1487 (DC), 1998 WL 473951 (S.D.N.Y. Aug. 11, 1998), the Court entered a default judgment against a party that “acted in bad faith, including by misrepresenting both to [the plaintiff] and to the Court that responsive discovery did not exist when in fact it did,” and made “blatant misrepresentations” as to the existence of responsive discovery. *Id.* at *5-6. There is nothing even approaching that conduct here. The other cases on which Complainant relies similarly confirm that the instant circumstances are far removed from those in which default judgments have been found warranted. In many of them, the defaulted party simply failed to show up, often after engaging in willful misconduct.¹ In others, the party fabricated evidence or

¹ See *Peart v. City of New York*, 992 F.2d 458 (2d Cir. 1993)(counsel refused to assist opposing counsel in preparing the joint pre-trial order, filed a “proposed pre-trial order as a final one without consulting appellees’ counsel,” and failed to appear for trial); *Guarantee Co. of N. Am. USA v. Lakota Contracting Inc.*, No. CV 19-1601 (TJK), 2021 WL 2036666 (D.D.C. May 21, 2021)(Defendants answered the Amended Complaint late without justification, failed to provide any written responses, objections, or documents responsive to plaintiff’s discovery requests within the deadline or at any point thereafter, refused to find new counsel despite repeated warnings they could not proceed *pro se*, and did not appear at the sanctions hearing); *Perez v. Berhanu*, 583 F. Supp. 2d 87 (D.D.C. 2008)(defendant was “completely absent from th[e] litigation,” failing to “participate in [the] case in any manner,” including repeatedly failing to respond to written discovery requests and failing to appear for his deposition, with no attempt to defend these failures in any manner despite repeated opportunities to do so); *Stirrat v. Ace Audio/Visual, Inc.*, No. 02 CV 2842(SJ), 2004 WL 2212096 (E.D.N.Y. Sept. 24, 2004)(defendant failed to retain substitute counsel after its prior counsel had withdrawn following findings of discovery misconduct, and then failed to produce two witnesses for validly noticed depositions); *SEC v. Euro Sec. Fund*, No. 98 CIV 7347 DLC, 1999 WL 182598 (S.D.N.Y. April 2, 1999)(defendant completely failed to participate in discovery or make any response to the plaintiff; no evidence provided of any Swiss interest in the issue or even identification of any relevant Swiss law or its applicability).

otherwise intentionally misled the court.² In the remainder, the party failed to offer any justification for not responding to court orders or interposed nonresponsive filings solely for the purpose of delay.³

The only two cases Complainant cites that touch on the main issue here – inability to comply with a discovery order due to a foreign country’s blocking statute – in fact support *MSC’s* position. *Cine Forty–Second St. Theatre Corp. v. Allied Artists Pictures Corp.*, 602 F.2d 1062 (2d Cir. 1979) found that “plaintiff, through its undeniable fault, has frozen this litigation in the discovery phase for nearly four years,” *id.* at 1068, but expressly distinguished circumstances where a party “makes good faith efforts to comply, and is thwarted by circumstances beyond his control for example, a foreign criminal statute prohibiting disclosure of the documents at issue.” *Id.* at 1066. In such cases, “an order dismissing the complaint would deprive the party of a property interest without due process of law.” *Id.*

Complainant also cites *Schindler Elevator Corp. v. Otis Elevator Co.*, 2011 WL 4594225 (D.N.J. March 24, 2011), *report and recommendation adopted*, 2011 WL 4594958 (D.N.J. Sept.

² See *Lopez v. J & K Floral USA, Inc.*, 307 F. Supp. 3d 257, 258 (S.D.N.Y. 2018)(striking defendants’ answer as a sanction where deposition testimony “demonstrated that documents provided by Defendants to Plaintiffs through discovery were fabricated.”); *Aliki Foods, LLC v. Otter Valley Foods, Inc.*, 726 F. Supp. 2d 159, 181 (D. Conn. 2010)(plaintiff acted willfully and in bad faith by, among other things, “intentionally spoliat[ing] its own computers and hard drives”); *S. New England Tel. Co. v. Glob. NAPs, Inc.*, 251 F.R.D. 82, 91-92 (D. Conn. 2008), *aff’d*, 624 F.3d 123 (2d Cir. 2010)(Defendants “willfully destroyed evidence contained” and “committed a fraud” upon the court by “failing to turn over their general ledgers and other business records, lying to the court about the inability to obtain documents from third parties, and destroying and withholding documents that were within the scope of the discovery requests and Orders.”).

³ See *U.S. Bank Nat’l Ass’n v. Poblete*, No. CV 15-312 (BAH), 2017 WL 598471 (D.D.C. Feb. 14, 2017)(defendants ignored the scheduling order, refused to respond in to the court’s last three orders, and repeatedly filed unresponsive notices and other documents for the sole purpose of delaying resolution of the matter); *Medina v. Gonzalez*, No. 08 CIV 01520 BSJ KNF, 2010 WL 3744344 (S.D.N.Y. Sept. 23, 2010)(involved a 2 1/2 year period of bad faith noncompliance with ten separate orders without offering any justification); *Am. Cash Card Corp. v. AT & T Corp.*, 184 F.R.D. 521, 525 (S.D.N.Y. 1999), *aff’d*, 210 F.3d 354 (2d Cir. 2000)(plaintiff failed, without offering any justification, to comply with five separate discovery orders and to failed pay monetary sanctions imposed for prior noncompliance).

30, 2011), which involved a Swiss blocking law defense. *Schindler Elevator*, however, confirms that Article 273 of the Swiss Criminal Code bars parties from “divulging the business affairs of others without their consent.” *Schindler Elevator*, 657 F. Supp. 2d 525, 533 (D.N.J. Sept. 24, 2009)(citation omitted). Notably, in *Schindler Elevator*, the Swiss company asserting the production bar had advanced only “its own business information,” *id.*, while here the requests seek information that directly concerns third parties, such as information as to their contracts with MSC and their business relations with others. *See* MSC Resp., Exh 2 at 3-4, 6, 8-9, 11 (confirming that such requests implicate Article 273 of the Swiss blocking statutes).

Second, in *Schindler Elevator*, the Swiss company tried three times but was unable to demonstrate that Swiss law applied, *Schindler Elevator Corp.*, 2011 WL 4594225 at *1, while MSC has done so here. *See* MSC Resp., Exhs 1 and 2. As noted above, the ruling of the Geneva court, which MSC has taken steps to address with the Swiss authorities, does not address Swiss criminal law or the applicability of Sections 271 and 273, and, consequently, cannot render them inapplicable. The Geneva court simply (and erroneously) requires that some procedure other than Letters of Request under the Hague Convention are needed to allow MSC to comply with them. No party suggested in response to that ruling that MSC be immediately ordered to produce without *any* procedures for compliance with Swiss law. *See* July 15, 2022 Status Report.

In sum, while Complainant attempts to paint MSC’s conduct as “bad faith” and “contumacious,” it bears no relationship to the conduct in cases where default judgments have been entered. As the Supreme Court stated in *Societe Internationale Pour Participations Industrielles Et Commerciales v. Rogers*, 357 U.S. 197 (1958), a case MSC relied on and Complainant does not address, “[i]t is hardly debatable that fear of criminal prosecution constitutes

a weighty excuse for nonproduction, and this excuse is not weakened because the laws preventing compliance are those of a foreign sovereign.” MSC has, at the very least, such a “fear” here.

C. Complainant makes no effort to show “actual prejudice” from continuing consultations, or that that the outstanding discovery is so central to its claims that a default judgment would be warranted for its nonproduction

Despite its new and unsupported assertions to the contrary, Complainant has not shown that it will suffer actual prejudice by further consultations with the Swiss government to allow MSC to produce additional discovery. Complainant has repeatedly maintained that the consultative procedures under 46 U.S.C. § 41108(c)(2) are mandatory, and has not suggested that use of those procedures would prejudice it unless it were forced to take depositions before receiving the documents, which no party has suggested. *See* July 15 Joint Status Report at 2.

Complainant also makes no effort to show that if MSC cannot obtain the necessary authorizations to produce additional discovery, Complainant would suffer “actual prejudice” under the standard set out in *Webb* – that it so “severely hampers” Complainant “it would be unfair to require [it] to proceed further with its case.” *Webb*, 146 F.3d at 971. Complainant misreads *Webb* and other precedent in arguing that this standard is satisfied by the determination that the discovery at issue is “relevant to Complainant’s well-pled claims,” so that the “only question is whether [MSC] has produced the required discovery.” Compl. Mem. at 8. Discovery sanctions necessarily involve a “failure to comply with order compelling disclosures or discovery,” 46 C.F.R. 502.150(b), so the “only question” cannot be whether the party produced the required discovery.

The “actual prejudice” standard stated in *Webb* is far more demanding than the broad standard of potential relevance, and assesses whether the outstanding discovery is essential to the opposing party’s claims. *See Bradshaw v. Vilsack*, 286 F.R.D. 133, 141 (D.D.C. 2012)(denial of default judgment in the absence of specific, factually supported allegations of prejudice); *cf.*

Dubicz v. Commonwealth Edison Co., 377 F.3d 787, 792-93 (7th Cir. 2004)(declining to find prejudice where “case for prejudice is stated...only in the most conclusory terms” and no “particular witnesses or documents are identified.”). For the same reasons, no prior appeal as to the scope of discovery under the relevance standard could have been dispositive on the question of “actual prejudice.”

Complainant makes no effort to show that the outstanding discovery is essential to its claims, instead wrongly criticizing MSC for “rehashing” the merits of the motion to compel. Compl. Mem. at 17. Complainant simply asserts “in the most conclusory terms” that the discovery “cuts to the heart of the issues.” *Dubicz*, 377 F.3d at 792-93; Compl. Mem. at 17. This issue too should be treated as conceded in determining whether a default judgment should be issued.

As discussed below, MSC has provided what it believes to be full discovery on what Complainant previously characterized as the “heart” of the conduct it is challenging in the case. *See* Motion to Compel, at 34, 37. Complainant’s new argument that every item of discovery that MSC has been unable to produce pending further consultations is at the “heart” of its case and causes it prejudice because it may be relevant in some way is both unsupported and unsupportable. Compl. Mem. at 5. Because Complainant has effectively declined to respond to MSC’s discussion of this issue in its initial response, *see* MSC Resp. at 13-21, the discussion here can be brief.

MSC’s compliance with respect to requests 5-13, 17, 23-24 and interrogatory 8 (information concerning Complainant and its cargo) cannot serve as a basis for default judgment, because MSC believes it has already provided all responsive, non-privileged documents. Complainant has provided no basis to suggest this production is incomplete. *Id.* at 13-16. MSC’s initial brief further explained that MSC’s compliance with respect to requests 14-15 and 31-35 and interrogatories 9-10 and 13-14 (financial information related to the force majeure defense mooted

by the amended complaint) likewise cannot serve as a basis for default judgment, because the issues are now moot and MSC has otherwise already produced the responsive documents. *Id.* at 16-19. Complainant has not addressed this or suggested the production is incomplete.

MSC's initial brief explained that MSC's compliance with respect to requests 26-27, 29-30, 36-37, 39 and interrogatories 1-3, 5-7, 11-12 and 15 (information on general and administrative matters, including individuals with knowledge, MSC policies, past violations) likewise cannot serve as a basis for default judgment. *Id.* at 19-21. No finding of prejudice can be found, as MSC has already responded to these document requests and interrogatories, there are no responsive documents to produce, or the discovery is of only tangential importance.

Finally, MSC's initial brief explained that MSC's compliance with respect to requests 17-22, and 25 and interrogatories 18-19 (information on cargo capacity, costs, and carriage or non-carriage unrelated to Complainant) likewise cannot serve as a basis for default judgment. No finding of prejudice can be made, because even if MSC were able to provide the information requested regarding cargo capacity, costs, and unbooked space, it would not be material to any claim or defense; it would be unfair to default MSC for not providing information that it could not reasonably collect because it is not maintained in the course of business or reliably recreated. *Id.* at 21-24.

Complainant argues that no lesser sanction of adverse inferences would be appropriate because "the adverse inferences arising from those unfulfilled discovery requests, which were tailored to the essential elements of Complainant's causes of action under the Shipping Act, would fulfill those essential elements, rendering those causes of action subject to summary decision in Complainant's favor." Compl. Mem. at 18. This argument is entirely circular. It does not come close to the "clear and convincing" standard necessary to show that "a lesser sanction would not

sufficiently punish and deter the abusive conduct while allowing a full and fair trial on the merits.” *Shepherd v. American Broadcasting Companies*, 62 F.3d 1469, 1472 (D.C. Cir.1995).

Complainant’s position is also demonstrably false. Again, based on the detailed explanation in MSC’s initial brief, MSC has made substantial document productions, only a subset of discovery items remain outstanding, and those items could be addressed without recourse to a default judgment. The most significant area of outstanding discovery is the information regarding MSC’s cargo capacity and its carriage of cargo for shippers unrelated to Complainant, including the costs charged to other shippers under confidential service contracts and public tariffs. Complainant has not shown how even an adverse inference on these issues would require summary decision in Complainant’s favor. As explained in MSC’s initial brief, it could be taken as established that MSC’s ships sailed empty or full, or that MSC charged other shippers more or less than it charged Complainant to carry more, less, or the same volume of cargo. None of these facts, even if taken as established, would result in summary decision. Moreover, Complainant’s Shipping Act claims are premised on MSC’s alleged failure to provide carriage to Complainant’s cargo at its contracted rates, and MSC has provided relevant discovery. If Complainant timely and properly booked its cargo, MSC had an obligation to carry it at the contracted rates, regardless of whether the vessels were full or empty and of the prices charged, the volume, or the MQC promised to any other shipper. Adverse inferences on other tertiary issues, including MSC’s document retention policies, and information regarding MSC’s profit motives and insurance coverage would likewise not come close to requiring summary decision in Complainant’s favor.

D. Complainant cannot show that further consultations would prejudice the Commission proceedings by imposing an “intolerable burden”

As set forth in MSC’s initial filing, findings of prejudice to the tribunal sufficient to justify a default judgment are reserved for the most extreme cases. *See* MSC Resp. at 7-9. Here, there

can be no such showing, as there is no hearing date or other deadline scheduled. MSC is actively engaged in the case and has identified viable alternatives to expeditiously resolve the Swiss law issues and allow for a decision on the merits.

E. Complainant must prove its damages and has made no effort to do so

Complainant makes no effort to prove up the nearly \$950,000 in reparations it claims or to show how the outstanding discovery relates to those claims. In place of any such evidence, specifically evidence that Complainant timely and properly booked cargo that MSC refused to carry, Complainant references the “actual damages” “detailed in its Amended Complaint.” Compl. Mem. at 18. The Amended Complaint asserts that MSC’s alleged misconduct forced Complainant to book certain cargo at spot market prices and assigns an (unexplained) per box value to reach sum totals under the 2020 and 2021 service contracts. Complainant’s claim for reparations is thus entirely unsupported; the unverifiable numbers it presents now do not even match the unverifiable numbers included in its Amended Complaint. Additionally, Complainant seeks reparations for the 2020 contract year, but none of the outstanding discovery items are relevant to 2020, as this proceeding did not include any claims from the 2020 contract year until after the motion to compel was decided.

In any event, citation to a verified complaint is insufficient to meet Complainant’s burden to prove up its alleged damages. *See Breaking the Chain Found., Inc. v. Capitol Educ. Support, Inc.*, 589 F. Supp. 2d 25, 28 (D.D.C. Dec. 15, 2008)(“plaintiff must prove its entitlement to the amount of monetary damages requested” via “detailed affidavits or documentary evidence to determine the appropriate sum for the default judgment.”); *Plesha v. Bestline Int’l Research, Inc.*, 2021 U.S. Dist. LEXIS 220514, at *18 (D.D.C. Nov. 16, 2021)(“failure to offer a reasonable basis for calculating damages” is a failure “to meet the requisite burden of proof to recover damages”

(internal quotation marks and citations omitted)). Complainant has not even attempted to put on such proof. It has never shown that it attempted to tender to MSC the cargo for which it is now seeking reparations, and none of the outstanding discovery goes to that issue. MSC has produced all responsive documents related to the carriage of Complainant's cargo, so there can be no default on the issue.

III. Complainant Does Not Address MSC's Jurisdictional Arguments Or Attempt To Show Why They Should Not Be Certified

The consideration of a default judgment necessarily implicates the question of the Commission's jurisdiction to enter such a judgment. Subject matter jurisdiction is a controlling question of law, especially when, as here, a tribunal has carefully limited jurisdiction. Consistent with the principle that a tribunal always retains the responsibility to assure itself of its own jurisdiction, MSC has renewed and amplified its jurisdictional objections, and has expressly asked for certification of the issue to the Commission. Complainant's attempts to stay the arbitral proceeding, though unsuccessful, show the importance of having a Commission ruling on jurisdiction now.

CONCLUSION

There is no basis for entry of a default judgment. Instead, available procedures and consultations should continue to be pursued with the Swiss government to resolve the legal issues presented under Swiss law as to the outstanding production.

Respectfully submitted,

_____/ s *John Longstreth* _____

Michael F. Scanlon
John Longstreth
Ifigeneia Xanthopoulou
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
Email: michael.scanlon@klgates.com
john.longstreth@klgates.com
ifigeneia.xanthopoulou@klgates.com
*Counsel for Respondent MSC Mediterranean
Shipping Company SA*

Dated: October 14, 2022

CERTIFICATE OF SERVICE

I certify that, on October 14, 2022, a true and current copy of the foregoing Reply was served via electronic mail on the following:

Matthew J. Reynolds
Karl C. Huth
Sara G. Wilcox
HUTH REYNOLDS LLP
41 Cannon Court
Huntington, NY 11743
reynolds@huthreynolds.com
huth@huthreynolds.com
swilcox@huthreynolds.com

Counsel for Complainant MCS Industries, Inc.

/s/ John Longstreth